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Dr. Marie Gaarder, Prof. Susan W. Parker, and Prof. Sudhanshu Handa
Editors-in-Chief
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Dear Editors,

We submit ‘Credible on Paper? Evaluating the Effect of Green Banking Policy on Firms’ Green Investment in Emerging Economies’ for consideration as a research article in the *Journal of Development Effectiveness*.

Since 2012, more than sixty emerging and developing economies have adopted green banking guidelines through the IFC-hosted Sustainable Banking and Finance Network (SBFN). The network tracks this effort through policy outputs: which guidelines each member has issued, and how far it has moved along the network’s own progression framework. It does not track whether firms change what they do. Our paper evaluates the policy against its own theory of change, in which a supervisory guideline leads banks to price environmental risk, credit flows to firms investing in cleaner production, and aggregate environmental outcomes improve. We test two links in that chain: the firm-level credit channel the guidelines target, and the aggregate outcome they are meant to move.

At firm level, using two independent World Bank Enterprise Survey samples (28,042 firms in 41 economies, and 89,797 firms in 162 economies) and four estimators, bank credit is associated with a green-practice adoption rate 13 percentage points higher. That association is the same in adopting and non-adopting economies and does not vary with regulatory quality. The estimates are precise rather than merely insignificant: in the causal forest, the credit effect is 0.076 in adopting economies and 0.072 in non-adopting ones. At country level, a Callaway–Sant’Anna staggered-adoption event study of 217 economies over 2000–2024 finds no effect on renewable-energy share. The one significant result, a positive association with CO2 per capita, shrinks by about 45% once GDP per capita is controlled for, and its event-study profile looks like pre-existing divergence rather than a policy effect. We report it on those terms.

We think the paper suits the journal for two reasons. It evaluates a policy that is spreading across low- and middle-income countries largely on the strength of its stated logic rather than evidence of impact. And its main result is a well-powered null, which the journal’s ‘learning from our mistakes’ policy explicitly welcomes. The paper draws out lessons for programme monitoring and evaluation: the need for outcome indicators alongside output indicators, and the value of re-fielding the Enterprise Surveys’ Green Economy module so that future evaluations can make within-country before-and-after comparisons.

We are explicit about the design’s limits. The firm-level analysis is cross-sectional, because the Green Economy module has been fielded to each economy essentially once; the staggered-adoption design is therefore run at country level, on an independent data source. We do not observe bank-side

links in the chain, so a null at the firm level cannot on its own say where the chain breaks.

The manuscript is prepared for double-anonymised review. Author details appear only in the version of the manuscript with author details, and the anonymous version withholds the replication repository link. This manuscript is not under consideration elsewhere, and the authors declare no competing interests.

Sincerely,

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